

CONCLUSION

The bottom line in overcoming the negative behavioral effects of cognitive dissonance is that investors need to immediately admit that a faulty cognition has occurred. Rather than adapting beliefs or actions in order to circumnavigate cognitive dissonance, investors must address feelings of unease at their source and take an appropriate *rational* action. If you think you may have made a bad investment decision, analyze the decision; if your fears prove correct, confront the problem head-on and rectify the situation. In the long run, you'll become a better investor.

NOTES

1. E. Aronson, "The Theory of Cognitive Dissonance: A Current Perspective," in L. Berkowitz, ed., *Advances in Experimental Social Psychology*, Vol. 4 (New York: Academic Press, 1969), 1–34.
2. L. Festinger, *A Theory of Cognitive Dissonance* (Stanford, CA: Stanford University Press, 1957).
3. See www.money.cnn.com/1998/06/12/mutualfunds/q_worstfunds.
4. W. N. Goetzmann and N. Peles, "Cognitive Dissonance and Mutual Fund Investors," *Journal of Financial Research* 10 (Summer 1997): 145–158.